| | S&P 500 | | | |
|---|---|---|---|---|
| | Annual change | | P/E Ratio | |
| **Decade** | **EPS** | **Index** | **Beginning** | **Ending** |
| **1950s** | 3.9% | 13.6% | 7.2 | 17.7 |
| **1960s** | 5.5 | 5.1 | 17.7 | 15.9 |
| **1970s** | 9.9 | 1.6 | 15.9 | 7.3 |
| **1980s** | 4.4 | 12.6 | 7.3 | 15.4 |
| **1990s** | 7.7 | 15.3 | 15.4 | 30.5 |
| **2000s*** | 4.1 | −3.8 | 30.5 | 20.7 |
| **Average** | 6.1% | 8.1% | 7.2 | 16.4 |

*Through Dec. 31, 2004
** Compound rate
*** From S&P 500's level of 1234.18 on July 31, 2005

The conclusion about earnings:

> There is very little correlation between earnings growth and share-price appreciation. During the 1950s, earnings grew less than 4% a year, yet that was one of the best decades for stock-price performance. The 1970s saw the fastest earnings growth in the past 55 years, but that was the worst decade for investors in the stock market.

If there is so little correlation between rising profitability and stock prices, why do we focus so much on earnings? They are singular measures, and easy to understand. But we put way too much emphasis on corporate earnings, while ignoring numerous other factors that matter a great deal as well.

When we reduce an incredibly complex ecosystem that includes much more than simply prices and profits, we get a distorted picture of the universe.

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Earnings may matter less than we think, but Mr. Market is more rational than we give him credit for. Let's explore why next.

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194 Keith Wibel, "Preparing for Low Returns," *Barron's* (August 29, 2005).
195 Mark Hulbert, "If Profits Grow, How Can the Market Sink?" *The New York Times*